

fear and greed that causes most investors' returns to be substantially less than their investments.

Many of the people you read about in this book, including me, got to FI by developing a high savings rate, then investing those savings in simple, passive, low-cost index funds. Many others fail because they don't understand the simple truths presented in this chapter.

Action Steps

1. Make a list of your recurring expenses. (If you've started tracking or budgeting your spending as suggested in Chapter 4, this should be easy). Multiply your annual expenses by twenty-five or monthly expenses by three hundred to see the impact of your spending on the amount you need to accumulate to achieve FI. Does that spending add value to your life? Would your path to FI be shorter and easier if you didn't have to save the amount required to sustain that spending?
2. Check your 401(k) and other investment accounts. Calculate your investment fees including expense ratios. If you aren't sure how to do this, there are free online tools. Check the *ChooseFI* website for recommendations.